

cost of ownership can also boost market penetration.

Scope for manufacturing

The Indian consumer electronics market has been growing big, primarily driven by imports as the manufacture of consumer electronics is insignificant here. There has been a continuous rise in imports (Fig. 5) from low-cost regions such as China and South East Asia due to various free-trade agreements and availability of products at a lower cost as compared to costs incurred in local manufacturing. As a result, this sector has been contributing to the current account deficit of the country.

Considering the economic factors and government impetus (Table I) in line with Make in India vision, the country is well-positioned to increase its manufacturing base in this sector. Many large global companies have started considering India as the regional hub for manufacturing to serve domestic markets and also to export to SAARC and Middle East and African markets, in order to gain scale and make Indian operations viable.

To meet the rising local demand and export demand to neighbouring regions and Middle East and African markets, companies are planning to expand their local manufacturing in India and make the country an export hub. Major Indian and global consumer durables companies have announced investments of around

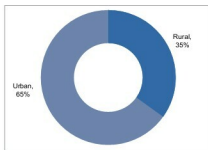


Fig. 2: Consumer durable market demography in India (FY15)

US\$ 1.4 billion over the coming years in India.

Policy boost for Make in India

The government of India has increased liberalisation that has favoured foreign direct investments. Also, policies such as National Electronics Mission, digitisation of TVs and setting up of electronic hardware technology parks are expected to boost manufacturing in this sector. Even manufacturers on their part are willing to invest in India and increase their manufacturing base in the country.

In Budget 2015-16, in order to encourage companies to make products in India, the government eliminated duties on certain components. These include round copper wire and tin alloys used in photovoltaic solar cells, black light modules for

Key growth drivers

- Increasing income level leading to improved affordability of consumers
- Enhanced urbanisation trend
- Availability of customised or India-centric products
- Availability of innovative products
- Availability of easy and attractive financing options for consumers
- Rise in organised retail

use in manufacture of LCD/LED TV panels and organic LED TV panels. Additionally, excise on wafers for use in manufacture of IC modules for smartcards has been reduced from 12 per cent to six per cent.

Manufacturing ecosystem

The manufacturing ecosystem of the consumer electronics sector is still not mature enough. Currently, there is low level of component manufacturing activity in the country, which, in turn, discourages domestic manufacturing of end products. Therefore there is a need to create a component industry to cater to the demand of manufacturers.

There is a good base of contract manufacturers and electronics manufacturing services (EMS) companies. These companies are mostly involved in processes like

Healthy growth of revenue in consumer electronics sector

- Revenues reached US\$ 9.7 billion in FY15 and is expected to reach US\$ 12.5 billion in FY16
- Market is expected to grow at CAGR of around 13 per cent from FY05 to FY20
- Around two-third of total revenue is generated from urban population and the rest from rural population

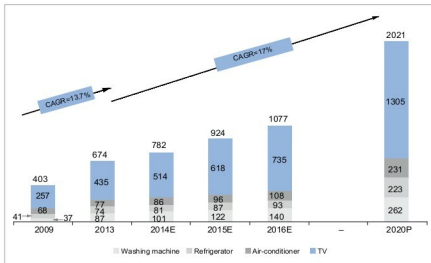


Fig. 3: Forecast on consumer durables market shares of select products (Source: JP Morgan, TechNavio, Spark Capital estimates, E&Y analysis)